



- 20% of the adult population in the United States does not have a bank account.
- Until the 1950s, pawn shops were the only form of customer credit in the USA.
- About 30 million Americans (nearly 1 in 9 adults) use pawn shops every year.
- There are approximately 11,500 pawn shops currently operating in the US.

Most shops mainly make their money through loans given to extremely desperate people. Sellers will offer the pawn shop their lawnmowers, blenders, TVs, firearms, anything with a little bit of value. Then the shop gives them 25-60% of the item's resale value in cash and the seller only has 30-60 days to buy the item back with interest. The average pawn shop loan value is 75-100\$, meaning these people are likely next to broke, struggling to keep a roof over their head or withdrawing from hard drugs.

- a) The painful physical and mental feeling someone has when they suddenly stop taking a drugs.
- b) The extra money you must pay to a bank or a shop when you borrow money from them.
- c) The amount of money that an object is worth if you decide to sell it or trade it to someone else.
- d) The amount of money you can get if you sell an item that you have already owned and used.
- e) Money that you borrow from a person or a bank and must pay back later, usually with extra cost.
- f) Having almost no money left at all; being very close to having zero dollars in your pocket.

Have you ever used a **pawn shop** as a buyer or a seller? Would you ever consider doing that? Are there many **pawn shops** in the area where you live? How do you feel about it?

Look at the image of Sal's EXCHANGE pawn shop.

Can you name the 10 objects labeled in the picture?

You are going to listen to Dustin, an aspiring YouTuber, taking an interview with Sal, the pawn shop owner.

Which 6 out of the 10 items do they discuss?

Listen again and match the descriptions with the 6 objects:

- It was traded away so that a local regular could finally play music.
- It helped a traveler fund a journey to find someone from his past.
- It was owned by a sailor and has some scratch marks on the side.
- It is an old piece of tech that was likely taken from a warehouse.
- It serves as a small sign of hope in a place filled with sad stories.
- It is a valuable luxury item that became a symbol of a painful lie.



Sal used some words to describe the objects. Look through the list and decide which word was used to describe which object in the image.

Can you guess the meaning of each word? Listen again to check.

- | | | | | | | | |
|------------|------------|---------------|----------|---------------|-----------|-----------|---------|
| • Polished | • Fragile | • Tall | • Solid | • Smooth | • Oblong | • Pointy | • Shiny |
| • Vibrant | • Pristine | • Leathery | • Rough | • Glossy | • Quilted | • Layered | • Flat |
| • Curved | • Clumpy | • Transparent | • Bright | • Rectangular | | | |

Think of *an object* that you own and describe it using some of the words from the box. What story does it tell?

How long have you had it? How did you get it? How valuable is it to you?

Would you ever consider taking it to a pawn shop if you needed money?

"We don't own things; things own us"

Stephen King
American author



Endowment Effect: Why Are We All So Stupid?

Read Stephen King's quote. What do you think it means? Do you agree with it?

- Would you sell your lottery ticket for twice what you paid for it, or would you be too worried that you are already holding the winning ticket?
- What do you think the **Endowment Effect** is? Watch the video to find out!

Match the halves of the statements that summarize the video:

- | | |
|---|--|
| 1. People place a much higher value on | A. demand more money than a buyer is willing to pay. |
| 2. Ownership creates a sense of identity | B. even when offered many times the original price. |
| 3. Fear of future regret often prevents us from | C. cautious when we already possess a potential gain. |
| 4. Most people refuse to sell lottery tickets | D. that makes parting with an item feel like a loss. |
| 5. Emotional attachments lead sellers to | E. objects they own than on identical items they do not. |
| 6. Loss aversion causes us to be overly | F. making rational trades for immediate profit. |

Looking at the items you own, which one do you think is the hardest for you to part with? Why?
In your opinion, which person (from the pawn shop audio) is most likely to regret their decision?

Look at the image below. The man on the picture is a **hoarder**.
What is hoarding? (choose correct answer a, b or c)

- The hobby of buying rare and expensive items to sell them for a lot of money in the future.
- The short-term act of storing old things in a garage because you are moving to a new house.
- The constant struggle to throw away objects even if they have no real use or financial value.

Watch the video to check you answer and define vocabulary:

What are **goat paths** according to the video?

What is the meaning of **excessive** in the phrase

"**excessive acquisition of stuff**"?

When people cannot **discard** the items, it means ___?

If the house becomes **overrun**, it means ___?

19 million Americans are **struggling** with hoarding disorder, which means ___?

This number is **underrepresented**, meaning ___?

If people are **suffering** in silence, it means they are ___?



Are you a hoarder? Do you know any hoarders personally?

Why do you think it is so difficult for some people to throw things away?

If a person dear to you was suffering from this disorder, what would you do to help?



Do you think Sal, the pawn shop owner, is really a hoarder?

- 1 (Portrait): **Vibrant** (colors), **Clumpy** and **Layered** (paint texture), **Rectangular** (shape).
- 2 (Chanel Bag): **Pristine** (condition), **Leathery** (material), **Quilted** (stitching).
- 5 (Just Married Plate): **Thin**, **Flimsy**, **Curved** (edges), **Oblong** (shape).
- 8 (iPhone 4): **Transparent** (plastic wrap), **Glossy** (finish), **Flat** (edges).
- 9 (Trophy): **Tall**, **Pointy**, **Bright** and **Shiny** (metallic finish), **Solid**.
- 10 (Rolex): **Polished** and **Smooth** (finish), **Rough** (scratches on the back).